AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BB293

Financial Accounting in Context

Final Exam

2024-2025 / Spring Semester

Version A

12-June-2025

Number of Exam Pages: 5 (including this cover sheet)	Time Allowed: 3 Hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except for graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examina
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

CamScanner

Questions 1

Financial statement analysis involves reviewing an organization's financial reports to understand its financial status. This process includes assessing and interpreting the information provided in the financial statements to evaluate the company's performance and financial well-being. Describe the three types of financial statement analysis.

[20 Marks]

Question 2

A partial financial statement for the orange company is presented below.

Orange Company Statement of Financial Performance For the year ended December 31, 2024		
Sales		$759,375
Cost of goods sold		$415,125
Gross Profit		$344,250
Operating expenses:		
Salaries	101250	
Depreciation expense	70875	
Miscellaneous	78468	$250,593
Net Income		$93,657

Orange Company Statement of Financial Position As at 31st December 2024		
	2024	2023
Cash	177,187	162,000
Account receivable	106,312	83,531
Inventories	212,625	187,312
Prepaid expenses	9,618	13,668
Bank deposits	5,625	14,625
PPE	1,012,500	787,500
Accounts Payable	48,093	60,750
Salaries Payable	21,768	15,187
Short term borrowings	11,250	2,250
Long-term bank loans	180,000	112,500

Required: Prepare the operating activities section of the statement of cash flows using the indirect method..

[20 marks]

CamScanner

uestion 3

hoose the correct answer.

1. It is an amount received on the company's investments that will be recorded in the investment income figure in the statement of financial performance.

a. Retained earnings
b. Income received
c. Dividends received
d. None of the above

2. A statement that shows the reconciliation of profit before tax to net cash flow generated from/(used in) operating activities and the cash flow statement together.

a. Income statement
b. Retained earnings statement
c. Cash flow statement
d. Balance sheet

3. Plant which had cost £25,000 was sold during the year. The PPE was sold for a profit of £6,000. The accumulated depreciation on the PPE sold on the date of disposal was £20,000. Calculate the sales proceeds for the disposal.

a. 11,000
b. 5,000
c. 6,000
d. 10,000

4. A contract that has an impossible purpose, such as to build a stairway to the moon.

a. Void Contract
b. Valid Contract
c. Voidable Contract
d. None of the above

5. It is a likely obligation, and the amount of the obligation is not known with certainty.

a. Long-term liability
b. Short term liability
c. Provisions
d. Contingent liability

6. Receipts of royalties, fees, commissions, and other revenue is the example of cash flow from

a. Investing activities
b. Operating activities
c. Financing activities
d. Non-Cash expense

7. A cost that are included in the cash flow statement under cash flow from financing activities.

CamScanner

a. Finance cost
b. Operating cost
c. Direct cost
d. Indirect cost

8. A non-cash amount of the non-current asset that has been used up in that financial year under the accruals basis.

a. Interest expense
b. Depreciation expense
c. Royalties expense
d. Subscription expense

9. During the year, equipment was sold. The equipment had cost £66,000, and the accumulated depreciation on the date of sale was £45,600. The sale proceeds were £30,000. What is the profit on disposal?

a. 10,600
b. 9,600
c. 81,600
d. 50,400

10. These are short-term (three months or less), highly liquid investments that are readily convertible to cash and are subject to an insignificant risk of change in value.

a. Current liabilities
b. Cash Equivalents
c. Cash only
d. Operating assets

[2 marks for each correct answer = 20 marks]

Question 4

a. What is a 'Common Sized Statement'?
b. Convert the following financial statement into Common Sized Statement.

Statement of Financial Performance for the year ended 31 December 2024	
Sales revenue	372,033
Cost of sales	(187,269)
Gross profit	184,764
Administrative expenses	(84,249)
Distribution expenses	(1,386)
Operating profit	99,129
Finance Cost	(5,784)
Profit before tax	93,345
Corporation tax	(20,676)
Profit for the year	72,669

CamScanner

[5 + 15 = 20 marks]

Question 5

Innovators Club plc. is a manufacturer of computer accessories. The following are selected items appearing in the income statement and balance sheet for the year ending December 31st, 2024.

Statement of Financial Performance	$
Net Sales	759,375
Less: Cost of Goods Sold	118,125
Gross Profit	641,250
Selling and general expenses	50,625
Net Operating profit	590,625
Interest expenses	84,375
Net Profit	506,250

Statement of Financial Position	$
Cash and short-term investments	50,962
Receivables	207,562
Inventories	69,693
Total current liabilities	101,250
Total liabilities	221,062
Total shareholder's Equity	420,187

Required: Using the above, information **compute the Company's ratio below and comment on each:**

a. Acid-test ratio
b. Current ratio
c. Net Profit Margin
a. Inventory Turnover
b. Interest Cover ratio

[4 marks for each ratio = 20 Marks]

End of Questions

CamScanner